

become financially independent or if your parents are still financially independent and will remain that way. No computer knows if Social Security is going to be around 25 years from now.

A computer model may be mathematically correct based on the very limited facts it is fed, but the answer it produces is not going to work if the allocation does not fit who you are, what your circumstances are, and what you are trying to accomplish. I believe in a more thoughtful, subjective approach to asset allocation.

Each investor has unique needs, experiences, and circumstances. The object is to build a portfolio that offers the potential return needed to reach financial goals while staying within a range of risk so that behavioral tendencies do not get in the way during difficult markets. Mathematical models can assist in considering how a portfolio could be put together, and then common sense needs to take over.

The approach advocated in this book is to consider a two-sided process. We look at both the rational left-side-of-the-brain solution along with the emotional right-side-of-the-brain solution. Information about this dual portfolio management process from the left side and right side can be found in Parts Two and Three.

CHAPTER SUMMARY

Multi-asset-class investing reduces portfolio risk and increases the potential for higher return. Owning several dissimilar asset classes is better than owning a few. Each new asset class reduces overall portfolio risk. By adding several different asset classes and sectors to a portfolio, you can create an efficient set of investments that work together to achieve your financial goals with less risk and higher expected return.

Finding asset classes that have low correlation with each other is a challenge. Correlations between asset classes can change significantly between time periods. Consequently, a methodology should be used to determine if an asset class is suitable for inclusion in your portfolio. That method is covered in [Part Two](#) of this book.

The enemy of a good asset allocation is the quest for a perfect one. Fight the urge to be perfect. It is not possible. Instead, design a good multi-asset-class portfolio, implement the plan, and maintain the plan. You will be glad you did.